

determine who they want to lead their country, who they want to be their local judges and officials, who they wish to associate with personally, and who they want to manage their money. However, in evaluating someone else's decisions after they have made them, observers possess information that the decision makers may not have had while they made their decisions (such as what kind of impact their decision had on us and other outside or big picture information), and it is possible that we judge others too kindly or too harshly. As Baron states in his work, "... Reasonable decisions are criticized by Monday morning quarterbacks who think they might have decided otherwise, and decision makers end up being punished for their bad luck."¹ Similarly, people who make flawed decisions that turn out okay should not necessarily be judged on the outcome, however good it was, but rather on the process they used during the decision making process.

Information that becomes available only after a decision is made should not be considered in judging the quality of someone's decision, since having knowledge of the information after the fact does not help to teach the decision maker any valuable lessons. That is, because decision makers do not know what the outcome of their decision may be, but outcome information is available to those who evaluate the decisions afterwards, decisions are often unfairly judged since outcome information is never available while making decisions. In the context of investing, it is therefore important when evaluating the results of a money manager to not only consider their results, however good or bad, but rather the decision-making process by which they achieved their results.

Practical Application: Outcome Bias

Jonathan Baron and John C. Hershey of the University of Pennsylvania administered several experiments on outcome bias.² Subjects were given descriptions of decisions made by others under conditions of uncertainty, together with outcomes of those decisions. Some decisions were medical decisions made by a physician or a patient, and others were decisions about monetary gambles. Subjects rated the quality of thinking that went into the decisions, the competence of the decision maker, or their willingness to let the decision maker act on their behalf. Subjects understood that all relevant information was available to the decision maker. Subjects rated the thinking as better (i.e., rated the decision maker as more competent, or indicated greater willingness to yield the decision) when the outcome was favorable than when it was unfavorable. In monetary gambles, subjects rated the thinking as better when the outcome of the option *not* chosen turned out poorly than when it turned out positively. When asked, subjects felt that they should not take outcomes into account in making these evaluations. However, they did exactly that. In part, the effect of outcome knowledge